

API No. <u>42-419-31915</u> Drilling Permit # <u>910283</u> SWR Exception _____		RAILROAD COMMISSION OF TEXAS OIL & GAS DIVISION APPLICATION FOR PERMIT TO DRILL, RECOMPLETE, OR RE-ENTER <i>This facsimile W-1 was generated electronically from data submitted to the RRC.</i> <i>A certification of the automated data is available in the RRC's Austin office.</i>				FORM W-1 07/2004 Permit Status: Approved	
1. RRC Operator No. <u>781863</u>		2. Operator's Name (as shown on form P-5, Organization Report) SILVER HILL ENERGY OPERATING LLC		3. Operator Address (include street, city, state, zip): 2850 N HARWOOD ST STE 1600 DALLAS, TX 75201-0000			
4. Lease Name USA POLK 'E'		5. Well No. <u>2H</u>					
GENERAL INFORMATION							
6. Purpose of filing (mark ALL appropriate boxes): ☒ New Drill ☐ Recompletion ☐ Reclass ☐ Field Transfer ☐ Re-Enter ☒ Amended ☐ Amended as Drilled (BHL) (Also File Form W-1D)							
7. Wellbore Profile (mark ALL appropriate boxes): ☐ Vertical ☒ Horizontal (Also File Form W-1H) ☐ Directional (Also File Form W-1D) ☐ Sidetrack							
8. Total Depth <u>12500</u>		9. Do you have the right to develop the minerals under any right-of-way ? ☒ Yes ☐ No		10. Is this well subject to Statewide Rule 36 (hydrogen sulfide area)? ☐ Yes ☒ No			
SURFACE LOCATION AND ACREAGE INFORMATION							
11. RRC District No. <u>06</u>		12. County SHELBY		13. Surface Location ☒ Land ☐ Bay/Estuary ☐ Inland Waterway ☐ Offshore			
14. This well is to be located <u>3.9</u> miles in a <u>N</u> direction from <u>EAST HAMILTON</u> which is the nearest town in the county of the well site.							
15. Section	16. Block	17. Survey HOPSON, W		18. Abstract No. A-375	19. Distance to nearest lease line: ft.	20. Number of contiguous acres in lease, pooled unit, or unitized tract: 704	
21. Lease Perpendiculars: <u>2473</u> ft from the <u>SOUTH</u> line and <u>205</u> ft from the <u>WEST</u> line. 22. Survey Perpendiculars: <u>145</u> ft from the <u>NORTH</u> line and <u>1043</u> ft from the <u>WEST</u> line.							
23. Is this a pooled unit? ☒ Yes ☐ No		24. Unitization Docket No:		25. Are you applying for Substandard Acreage Field? ☐ Yes (attach Form W-1A) ☒ No			
FIELD INFORMATION List all fields of anticipated completion including Wildcat. List one zone per line.							
26. RRC District No.	27. Field No.	28. Field Name (exactly as shown in RRC records)		29. Well Type	30. Completion Depth	31. Distance to Nearest Well in this Reservoir	
<u>06</u>	<u>16032300</u>	<u>CARTHAGE (HAYNESVILLE SHALE)</u>		<u>Gas Well</u>	<u>12500</u>	<u>0.00</u>	
BOTTOMHOLE LOCATION INFORMATION is required for DIRECTIONAL, HORIZONTAL, AND AMENDED AS DRILLED PERMIT APPLICATIONS (see W-1H attachment)							
Remarks See W1 Comments attached				Certificate: I certify that information stated in this application is true and complete, to the best of my knowledge. <u>Cheryl Morris, Regulatory admin</u> Name of filer <u>Jul 31, 2026</u> Date submitted <u>(903)5203918</u> Phone <u>cmorris@silverhillenergy.com</u> E-mail Address (OPTIONAL)			
RRC Use Only Data Validation Time Stamp: <u>Aug 7, 2026 11:00 AM('As Approved' Version)</u>							

Permit Status: Approved <i>The RRC has not approved this application. Duplication or distribution of information is at the user's own risk.</i>

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 OIL & GAS DIVISION

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Approved Date:	Aug 07, 2026

1. RRC Operator No. 781863	2. Operator's Name (exactly as shown on form P-5, Organization Report) SILVER HILL ENERGY OPERATING LLC	3. Lease Name USA POLK 'E'	4. Well No. 2H
Lateral Drainhole Location Information			
5. Field as shown on Form W-1 CARTHAGE (HAYNESVILLE SHALE) (Field # 16032300, RRC District 06)			
6. Section	7. Block	8. Survey O`BANNON, S	9. Abstract 536
10. County of BHL SHELBY			
11. Terminus Lease Line Perpendiculars 100 ft. from the NORTH line. and 500 ft. from the WEST line			
12. Terminus Survey Line Perpendiculars 1026 ft. from the NORTH line. and 9047 ft. from the EAST line			
13. Penetration Point Lease Line Perpendiculars 1929 ft. from the SOUTH line. and 500 ft. from the WEST line			

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W-1 Comments

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[FILER Jul 31, 2026 11:17 AM]: This lease has overlapping acreage with the other USA POLK wells currently on file with the RRC. We will file Amendments or Cancel these other wells; [RRC STAFF Aug 3, 2026 9:05 AM]: Updated well count from 2 to 1 per parent well.; [RRC STAFF Aug 3, 2026 9:16 AM]: There have been problems identified with this permit (see problem letter attachment). Notification sent.; [RRC STAFF Aug 7, 2026 9:01 AM]: Filer provided a revised plat with a valid survey line call from the east to the BHL.; [RRC STAFF Aug 7, 2026 9:01 AM]: Updated survey line call to the BHL per revised plat.; [RRC STAFF Aug 7, 2026 9:02 AM]: Problems identified with this permit are resolved.; [RRC STAFF Aug 7, 2026 10:58 AM]: Changed Nearest Perpendicular Distance from Any Take Point to a Lease Line from 330 to 500.